

From Data Access to Good Loans: A Renewal-Focused Product Strategy for LendWell

1. Executive Summary

LendWell, one of our largest NBFC clients, is facing two connected problems in its unsecured personal loan journey. First, too many applicants are dropping off during the Account Aggregator consent journey before their bank data reaches underwriting. Second, even when the data is successfully fetched and analysed through our Bank Statement Analyser, LendWell is still rejecting most applicants, especially new-to-credit and thin-file borrowers.

At first glance, the largest funnel leak appears to be consent drop-off. Out of 100,000 monthly applicants who reach the AA consent screen, only 55,000 complete consent. That means 45,000 applicants are lost before underwriting even begins.

However, I would not prioritise consent optimisation first. As the TSP, our highest-control lever is not the AA app experience or FIP reliability. Our highest-control lever is the quality, explainability, and usefulness of the BSA output that LendWell uses to make credit decisions.

My recommendation is to prioritise improving BSA decision confidence for thin-file and new-to-credit users first, while simultaneously instrumenting the consent funnel so we can identify the largest avoidable drop-offs. The reason is simple: if LendWell does not trust our BSA output, then improving consent completion will only push more users into the same rejection engine. To protect renewal, we need to prove that our product can help LendWell approve more good borrowers at acceptable risk.

My two-quarter strategy would be:

Quarter 1: Protect renewal by improving risk-adjusted approval confidence.

I would ship a thin-file BSA enhancement pack, explainable reason codes, segment-level approval analytics, and a consent/fetch observability dashboard. The goal would be to increase

thin-file approval confidence from 30% to 33–35% without increasing early delinquency risk, while also giving LendWell visibility into where the consent journey is breaking.

Quarter 2: Scale the funnel and risk system.

Once BSA trust improves, I would scale consent optimisation through bank-wise drop-off fixes, smart retries, clearer consent education, FIP failure handling, and EWS-backed monitoring for newly approved thin-file borrowers. The goal would be to improve consent approval from 55% toward 65–70%, improve data fetch success from 85% to 90%, and increase good-loan volume without compromising compliance or user trust.

The business outcome LendWell cares about is not simply more approvals. It is more good loans at acceptable risk. The product outcome I would optimise for is risk-adjusted approval rate for thin-file users, supported by guardrails around early delinquency, consent compliance, time-to-decision, and user trust.

2. Context and Product Understanding

We operate as a Technology Service Provider in the Account Aggregator ecosystem. Lenders such as banks and NBFCs use our products because collecting a borrower's bank data, structuring it, interpreting it, and converting it into underwriting-ready insights is difficult to build internally.

Our two key products are:

Bank Statement Analyser: Converts raw bank-statement data into structured credit insights such as income, expenses, EMIs, balances, bounced transactions, inflow patterns, and affordability signals.

Early Warning System: Monitors borrower account signals after disbursal to identify early signs of repayment risk or default.

The AA data flow is:

FIP → AA → FIU → TSP

The FIP is the bank or financial institution holding the user's data. The AA is the regulated consent manager. The FIU is the lender consuming the data, in this case LendWell. We are the TSP that analyses the data and converts it into insights.

The most important product constraint is that nothing moves without an active user consent artifact. This creates a strong trust and compliance foundation, but it also introduces a fragile funnel step. If the user does not understand the consent request, cannot complete the bank linking flow, faces bank downtime, or loses trust during handoff, the lender never receives usable data.

This means the product problem is not only about analytics. It is about the full journey from user consent to credit decision.

3. Funnel Diagnosis: Where Value Leaks Today

LendWell's current monthly funnel is:

Stage	Users	Step Conversion
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Applicants who reach AA consent screen	100,000	—
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Approved consent	55,000	55%
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Successful data fetch from FIP | 46,750 | 85%

BSA insight generated | 46,750 | 100%

Loan approved by LendWell | 14,025 | 30%

Loan disbursed | 12,622 | 90%

There are four major leak points:

Leak 1: Consent-stage drop-off

100,000 users reach the AA consent screen, but only 55,000 complete consent.

That means 45,000 users are lost at consent.

This is the largest absolute funnel leak. Since LendWell pays around ₹250 to acquire every applicant who reaches the consent screen, this represents a major wasted acquisition cost. These users were already acquired, already reached the loan journey, and then disappeared at the data-sharing stage.

Leak 2: Data-fetch failure

Out of 55,000 users who approve consent, only 46,750 result in successful data fetch.

That means 8,250 users are lost after consent approval.

This could be due to FIP downtime, bank-specific failures, account discovery issues, expired sessions, technical errors, or AA/FIU integration problems.

Leak 3: Low underwriting approval

Out of 46,750 users whose data is successfully fetched and analysed, only 14,025 are approved.

That means 32,725 users are rejected after BSA insight generation.

This is the second-largest leak and the most strategically important one for the TSP, because it raises a trust question: is our BSA generating enough usable signal for the lender to confidently approve more customers?

Leak 4: Disbursal drop-off

Out of 14,025 approved loans, 12,622 are disbursed.

That means around 1,403 approved users do not complete disbursal.

This matters, but it is not the first-order problem compared with consent and underwriting approval.

4. Problem Framing: Symptoms vs Real Problems

LendWell has raised two complaints:

1. "We are losing applicants before we even see their data."
2. "When we do get the data, we still reject most people."

I would treat these as symptoms, not final problem statements.

Complaint 1: Consent drop-off

The surface complaint is that applicants are dropping during the AA journey.

The real problem is that LendWell and the TSP do not yet have enough visibility into why users drop. The drop-off could be caused by poor user understanding, AA handoff friction, bank-linking failure, FIP downtime, mobile OS issues, language confusion, privacy concerns, or specific bank failures.

Some of this is in our control. Some of it is not.

Complaint 2: Low approval after BSA

The surface complaint is that LendWell rejects most users after BSA.

The real problem could be one of three things:

1. Our BSA genuinely does not surface enough underwriting signal for thin-file users.
2. LendWell's credit policy is too conservative, even when good cash-flow signals exist.
3. Thin-file applicants may genuinely carry higher default risk, and approval should not be increased without stronger guardrails.

I would not assume that the product is wrong or that the lender is wrong. I would test where the decision confidence is breaking.

My prioritisation logic

Although consent drop-off is the largest volume leak, I would prioritise the BSA approval-confidence problem first because it is more directly in the TSP's control and directly tied to renewal risk.

If LendWell believes our product does not help them approve more customers safely, then even a better consent funnel will not solve the renewal risk. More data access is only useful if the lender trusts the insights created from that data.

So my framing is:

Primary problem to solve: LendWell does not have enough confidence to approve thin-file users based on current BSA outputs.

Secondary problem to solve: The AA consent journey has major leakage, but we first need stronger instrumentation to identify controllable vs non-controllable causes.

5. What Is in Our Control vs Outside Our Control

This is important because owning the wrong problem wastes the quarter.

Fully or mostly in TSP control

I would consider these in our control:

- BSA signal design

- BSA explainability
- Reason codes for underwriting decisions
- Thin-file borrower segmentation
- Cash-flow based risk indicators
- Lender-facing analytics dashboards
- BSA output format and usability
- Time-to-insight generation
- Data quality checks
- Error taxonomy and observability
- Retry logic after failed fetches
- EWS design and risk alerting
- Product analytics across the funnel

Partially in TSP control

These are partially in our control:

- AA handoff tracking
- Consent education before redirect
- Bank-wise drop-off visibility
- FIP failure reporting
- User-facing error messaging
- Retry nudges
- Lender journey before and after AA consent

We may not own the AA app, but we can still improve the orchestrated journey around it.

Mostly outside TSP control

These are mostly outside our control:

- AA app UX
- FIP uptime
- Bank authentication experience
- Regulatory consent requirements
- LendWell's final credit policy
- Borrower intent
- LendWell's disbursal journey

This means our roadmap should focus first on high-control interventions and then use data to influence partners where we do not directly control the experience.

6. Opportunity Sizing

6.1 Current business value

6.2

Current disbursed loans per month: 12,622

Average loan size: ₹80,000

LendWell net take: 6%

Net take per disbursed loan:

$$₹80,000 \times 6\% = ₹4,800$$

Current monthly take-home revenue:

$$12,622 \times ₹4,800 = ₹60,585,600$$

That is around ₹6.06 crore per month.

Current annualised take-home revenue:

$$₹6.06 \text{ crore} \times 12 = ₹72.72 \text{ crore per year.}$$

6.3 Revenue lost due to consent-stage drop-off

6.4

Currently, 45,000 users drop before consent approval.

To estimate revenue lost due to consent drop-off, I would assume these users would have followed the same downstream funnel if they had completed consent.

Downstream conversion after consent approval:

- Data fetch success: 85%
- Loan approval: 30%
- Disbursal: 90%

Expected disbursal rate from approved consent:

$$85\% \times 30\% \times 90\% = 22.95\%$$

Expected loans lost due to 45,000 consent drop-offs:

$$45,000 \times 22.95\% = 10,328 \text{ loans approx.}$$

Revenue lost per month:

$$10,328 \times ₹4,800 = ₹49,574,400$$

That is around ₹4.96 crore per month.

Annualised revenue lost:

$$₹4.96 \text{ crore} \times 12 = ₹59.49 \text{ crore per year.}$$

This is a very large opportunity, but I would treat it carefully because it assumes the dropped users have the same quality and intent as users who complete consent.

6.3 Impact if consent approval improves from 55% to 75%

If consent improves from 55% to 75%, then approved consent users increase from 55,000 to 75,000.

New funnel estimate:

Approved consent: 75,000

Successful data fetch at 85%: 63,750

Loan approved at 30%: 19,125

Loan disbursed at 90%: 17,213 approx.

Current disbursed loans: 12,622

New disbursed loans: 17,213

Additional loans per month:

$17,213 - 12,622 = 4,591$ loans approx.

Additional monthly revenue:

$4,591 \times ₹4,800 = ₹22,036,800$

That is around ₹2.20 crore per month.

Additional annual revenue:

$₹2.20 \text{ crore} \times 12 = ₹26.45 \text{ crore per year.}$

This makes consent improvement a major business opportunity.

However, I would explicitly call out that “everything else held constant” may be wrong. Users who currently drop at consent may be less committed, more privacy-sensitive, more likely to have unsupported banks, or more likely to have weaker financial profiles. So the approval rate, disbursement rate, and risk quality may not remain constant as consent improves.

6.5 Impact if BSA improves approval confidence from 30% to 35%

6.6

Now I would size the BSA opportunity because this is the lever I would prioritise first.

Current analysed users: 46,750

Current approval rate: 30%

Current approvals: 14,025

Current disbursed loans at 90%: 12,622

If improved BSA signals and explainability increase risk-adjusted approval from 30% to 35%:

New approvals:

$46,750 \times 35\% = 16,363$ approx.

New disbursed loans:

$16,363 \times 90\% = 14,727$ approx.

Additional disbursed loans:

$14,727 - 12,622 = 2,105$ loans approx.

Additional monthly revenue:

$2,105 \times ₹4,800 = ₹10,104,000$

That is around ₹1.01 crore per month.

Additional annual revenue:

$₹1.01 \text{ crore} \times 12 = ₹12.12 \text{ crore per year.}$

This is smaller than the consent opportunity, but it is more directly controllable by us. It also builds product trust, which matters more for renewal.

7. Business Outcomes, Product Outcomes, and Metrics

The business outcome LendWell cares about is:

More good loans at acceptable risk.

The business outcome we care about is:

Retain LendWell and prove that our lending product improves underwriting outcomes.

To connect these to product work, I would define the following outcome map.

Business Outcome | Product Outcome | Metric

Increase good-loan volume | Improve approval confidence for thin-file users | Risk-adjusted approval rate

Reduce avoidable rejection | Surface stronger BSA signals | Approval rate among low-risk thin-file segments

Maintain credit quality | Add risk guardrails | 30/60/90-day delinquency rate

Improve lender trust | Make BSA explainable | % decisions with reason codes used by credit team

Reduce acquisition waste | Improve consent completion | Consent approval rate

Improve data availability | Reduce fetch failures | Data-fetch success rate

Reduce decision friction | Improve speed and clarity | Time-to-decision

Protect trust and compliance | Respect consent boundaries | Consent complaints, revocation handling SLA

Primary success metric

My primary success metric would be:

Risk-adjusted approval rate for thin-file and new-to-credit users.

I would define this as the percentage of thin-file users approved after BSA analysis, adjusted against early repayment behaviour or delinquency guardrails.

This is better than simply measuring approval rate because approving more users is not automatically good. We need to approve more users who can repay.

Guardrail metrics

I would track:

- 30-day delinquency rate
- 60-day delinquency rate
- 90-day delinquency rate
- Bounce rate after disbursal
- EWS alert precision
- Consent revocation rate
- Consent-related complaints
- Time-to-decision
- Manual review rate
- Data-fetch failure rate
- Bank-wise AA failure rate

My north star for this case would be:

Increase good-loan disbursements without increasing early default risk or violating consent trust.

8. Root-Cause Investigation Plan

I would split root-cause analysis into two tracks.

Track 1: Why are thin-file users getting rejected?

The key question is:

Does BSA lack signal, or is LendWell's credit policy too conservative?

To answer this, I would run a segmented decision audit across users whose data was fetched and analysed.

I would break users into segments:

- Salaried users with regular income
- Gig or variable-income users
- New-to-credit users
- Thin-file users
- Low-balance users
- Users with high EMI burden
- Users with recent bounce events
- Users with stable inflows but no formal credit history
- Users with multiple bank accounts
- Users with high cash-flow volatility

Then I would compare:

- BSA signals generated
- LendWell's approval/rejection decision
- Reason for rejection
- Manual review notes, if available
- Actual repayment behaviour for similar past cohorts
- EWS alerts after disbursal
- Bank-statement patterns associated with good repayment

The most important analysis would be:

Are there rejected thin-file users who show strong cash-flow behaviour?

For example:

- Regular monthly income inflow
- Low bounce frequency
- Stable average balance
- Low EMI-to-income ratio
- Consistent rent or utility payment behaviour
- No sudden overdraft behaviour
- Positive month-end balance trends
- Low gambling or high-risk transaction patterns
- Predictable cash-flow cycles

If these users are getting rejected, then BSA may need better signal packaging and explainability. If these users are still defaulting when approved, then the credit policy may be right to be conservative.

I would also interview LendWell's credit team and ask:

- Which BSA insights do you trust today?
- Which fields do you ignore?
- Where do you still need manual judgment?
- What signals would make you comfortable approving a thin-file user?
- Which rejection reason is most common for new-to-credit users?
- Which BSA output feels unclear or unactionable?
- Are there segments where you believe we are being too conservative?
- Are there segments where you want more proof before approving?

My hypotheses would be:

1. BSA currently surfaces raw insights but does not convert them into lender-friendly confidence bands.
 2. Thin-file users may have good cash-flow signals, but these are not clearly mapped to affordability.
 3. LendWell's policy may treat missing credit history as high risk, even when bank-statement behaviour is stable.
 4. BSA explainability may be insufficient for credit teams to defend approvals internally.
 5. Approval lift may require both better signals and lender policy calibration.
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Track 2: Why are users dropping at consent?

For consent drop-off, I would not jump directly to UX changes. I would first instrument the journey properly.

I would track events across the consent funnel:

- User reaches consent screen
- User clicks continue to AA
- AA handoff initiated
- AA app/web opened
- Account discovery started
- Bank selected
- Account linked
- Consent request viewed
- Consent approved
- Consent denied
- Session abandoned
- FIP fetch initiated
- FIP fetch successful
- FIP fetch failed
- Retry attempted
- Retry successful

I would cut this data by:

- AA provider
- FIP/bank
- Device type
- OS
- App version
- Geography
- Time of day
- New vs returning user
- Loan amount band
- User segment
- Consent purpose
- Number of retry attempts

I would also look at logs for:

- FIP downtime
- AA timeout errors
- Account discovery failure
- OTP failure
- Authentication failure
- Consent artifact expiry
- Invalid consent artifact
- Data fetch timeout
- Unsupported bank
- Multiple account linking failure

User research questions:

- Did you understand why bank data was being requested?
- Did the consent language feel safe or risky?
- Did you recognise the AA app or brand?
- Where did you get stuck?
- Did you worry that the lender would see too much data?
- Did you know you could revoke consent?
- Did the bank-linking step feel trustworthy?
- Did you abandon because of technical failure or discomfort?

My expected hypotheses would be:

1. Users do not clearly understand why consent is needed and what data will be shared.
2. Drop-off is concentrated among specific banks or FIPs.
3. AA handoff creates trust breakage because users feel they have left the LendWell journey.
4. Account discovery or OTP failures are causing silent abandonment.
5. Some users drop because the consent language feels too broad or intimidating.
6. Mobile app switching between LendWell, AA, and bank authentication causes friction.

9. Solution Strategy

I would organise solutions across three themes.

Theme 1: Improve BSA decision confidence for thin-file users

This is my first priority.

The goal is to help LendWell identify thin-file users who may lack formal credit history but show strong repayment ability through bank-statement behaviour.

I would build a Thin-File BSA Enhancement Pack with the following components:

1. Cash-flow stability score

This would measure how predictable the user's inflows and outflows are across months.

Inputs could include:

- Monthly income regularity
- Inflow consistency
- Expense volatility
- Month-end balance stability
- Sudden negative-balance behaviour
- Frequency of low-balance days

Why it matters:

A new-to-credit user may not have a strong bureau file, but if their cash flows are stable, they may still be a good borrower.

2. Income confidence classification

Instead of only identifying salary credits, BSA should classify income patterns:

- Salaried income
- Gig income
- Business income
- Mixed income
- Irregular income
- Unverified income

For each user, BSA should provide an income confidence level: high, medium, or low.

Why it matters:

Many thin-file users are not formally salaried. Rejecting them only because income is not labelled as salary may lead to avoidable rejections.

3. Affordability band

BSA should estimate whether a user appears to have enough monthly surplus to support the loan.

This can include:

- EMI-to-income estimate
- Recurring obligation detection

- Rent/utility/payment commitments
- Average monthly surplus
- Bounce history
- Existing debt-like outflows

Output could be:

- Strong affordability
- Moderate affordability
- Weak affordability
- Insufficient evidence

Why it matters:

Credit teams need decision-ready language, not just raw transaction summaries.

4. Bounce severity and recovery score

Not all bounced transactions are equal.

The BSA should distinguish:

- One-off bounce
- Repeated bounce
- Bounce followed by immediate recovery
- Bounce due to low balance

- Bounce near salary date
- Bounce trend worsening over time

Why it matters:

A single bounce should not automatically make a user high risk if the rest of the cash-flow profile is strong.

5. Thin-file reason codes

For every thin-file user, BSA should generate simple reason codes such as:

Positive reasons:

- Stable monthly inflow detected
- Low recurring obligation burden
- Healthy average balance
- Low bounce frequency
- Predictable expense behaviour

Risk reasons:

- High cash-flow volatility
- Frequent low-balance days
- Repeated bounces
- Unstable income pattern

- High obligation-to-income ratio

Why it matters:

LendWell's credit team needs explainability. If the product only says "approve" or "reject," trust remains low. If it explains why a user is safe or risky, credit teams can act with more confidence.

6. Segment-level lender dashboard

I would create a lender-facing dashboard showing:

- Approval rate by segment
- Rejection reasons by segment
- BSA signal coverage
- Thin-file confidence distribution
- Approval vs early delinquency correlation
- Bank-wise data quality
- Manual review rates
- Top avoidable rejection opportunities

Why it matters:

This turns BSA from a black-box analyser into a decision-confidence product.

Theme 2: Add EWS-backed risk guardrails

If we help LendWell approve more thin-file users, we also need to protect them from higher default risk.

So I would use EWS as a guardrail layer.

For newly approved thin-file borrowers, I would monitor:

- Salary or income inflow disruption
- Sharp balance decline
- Increase in bounce frequency
- Sudden rise in EMI-like outflows
- Repeated low-balance days
- Unusual high-risk cash outflows
- Deterioration in affordability signals

This creates a stronger lender proposition:

We are not just helping you approve more users. We are helping you approve more users with post-disbursal monitoring.

This is important for renewal because it shows that the TSP understands both growth and risk.

Theme 3: Improve consent funnel observability and recovery

Even though I would not make consent the first product bet, I would instrument it immediately in Quarter 1.

The goal is to stop guessing.

I would build:

1. Bank-wise consent and fetch dashboard

This dashboard would show:

- Consent start rate
- Consent completion rate
- Account discovery success
- FIP fetch success
- Fetch failure reason
- Drop-off by bank
- Drop-off by AA provider
- Retry success rate
- Time to complete consent

Why it matters:

If 60% of failures are concentrated in five banks, the solution is very different from a generic UX improvement.

2. Error taxonomy

I would create a standard failure taxonomy:

- User abandoned
- Consent denied
- AA timeout
- FIP unavailable
- Account discovery failed
- Authentication failed
- Consent artifact expired
- Data fetch timeout
- Unsupported bank
- Technical error

Why it matters:

Without a clean taxonomy, teams will debate symptoms instead of solving root causes.

3. Smart retry logic

For failed fetches, I would introduce retry rules:

- Retry immediately for temporary technical failure
- Retry later for FIP downtime
- Ask user to reconnect if consent artifact is invalid
- Do not retry if user denied consent

- Notify lender if failure is bank-specific and recurring

Why it matters:

Data-fetch failure after user consent is a high-intent recovery opportunity.

4. Consent education before AA handoff

Before redirecting users to the AA flow, LendWell could show a short explanation:

- Why bank data is needed
- What data will be shared
- For what purpose
- For how long
- That consent can be revoked
- That AA is regulated and secure

Why it matters:

This can improve trust without manipulating the user.

5. Handoff continuity

The AA journey can feel like a user is leaving the lender's app. I would improve continuity through:

- Clear pre-handoff messaging
- Progress indicators
- Return-to-application handling
- Failure recovery states
- Bank-specific help text

Why it matters:

A smoother handoff can reduce avoidable abandonment.

10. Prioritisation

I would use a simple framework:

Impact × Control × Speed

This is better than using only impact because some high-impact items are outside our control or too slow for the renewal timeline.

Initiative	Impact	TSP Control	Speed	Priority
Thin-file BSA enhancement pack	High	High	Medium	P0
BSA explainability and reason codes	High	High	Fast	P0
Segment-level approval analytics	High	High	Fast	P0
Consent/fetch instrumentation	High	Medium	Fast	P0
Bank-wise failure dashboard	Medium-High	Medium	Fast	P1

Smart retry logic | Medium | Medium | Medium | P1

Consent education screen | Medium | Medium | Fast | P1

Advanced thin-file risk model | High | High | Slow | P2

Full AA journey redesign | High | Low-Medium | Slow | P2

EWS-based thin-file monitoring | Medium-High | High | Medium | P1

What I would ship first

I would ship BSA explainability + thin-file signal enhancements + segment analytics first.

Reason:

- It directly addresses the client's second complaint.
- It is mostly in our control.
- It creates a strong renewal narrative.
- It can be piloted quickly with LendWell's historical data.
- It helps prove whether the issue is BSA signal quality or LendWell's policy conservatism.

In parallel, I would ship consent instrumentation because we need evidence before changing the consent journey.

What I would not do first

I would not start with a full consent UX redesign.

Reason:

- We may not control the AA app experience.
- We do not yet know whether the largest drop-off is due to user confusion, bank failure, account discovery, or FIP downtime.
- A redesign without instrumentation could waste the quarter.

I would also not immediately build a complex new credit model.

Reason:

- It may require longer validation.
 - It may raise compliance and risk-review questions.
 - It may not be ready before renewal.
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11. Two-Quarter Roadmap

Quarter 1: Renewal Protection

Objective

Improve LendWell's confidence in our product by helping them approve more good borrowers safely, while giving them visibility into the consent and fetch funnel.

Initiative 1: Thin-file BSA enhancement pack

Product outcome:

Improve approval confidence for thin-file users.

Features:

- Cash-flow stability score
- Income confidence classification
- Affordability band
- Bounce severity logic
- Balance resilience indicator
- Thin-file reason codes

Success metrics:

- Thin-file approval rate improves from 30% to 33–35%
- No increase in 30/60/90-day delinquency
- Manual review rate reduces by 10–15%
- Credit team adoption of BSA reason codes

Initiative 2: BSA explainability dashboard

Product outcome:

Increase lender trust in BSA outputs.

Features:

- Segment-wise approval and rejection view
- BSA signal coverage
- Top rejection reason analysis
- Good-risk rejected user segment
- Approval vs early delinquency tracking

Success metrics:

- % of decisions supported by reason codes
- Reduction in “insufficient signal” rejection reason
- Increase in credit-team usage of BSA insights
- Improved renewal confidence from LendWell stakeholders

Initiative 3: Consent and fetch instrumentation

Product outcome:

Identify where the AA funnel is leaking and what is controllable.

Features:

- Consent funnel event tracking
- AA provider-level drop-off view
- Bank/FIP-level success and failure view

- Error taxonomy
- Retry attempt tracking

Success metrics:

- 95%+ funnel events tracked
- Top 3 drop-off reasons identified
- Bank-wise failure visibility created
- Data-fetch failures classified by root cause

Initiative 4: EWS pilot for newly approved thin-file users

Product outcome:

Increase lender comfort in approving more thin-file users.

Features:

- Post-disbursal monitoring for thin-file borrowers
- Early stress alerts
- Income disruption alerts
- Balance deterioration alerts
- Bounce risk alerts

Success metrics:

- EWS alert precision
- Early delinquency detection rate
- No deterioration in risk-adjusted approval quality
- LendWell credit team adoption of alerts

Quarter 1 target outcomes

By end of Quarter 1, I would aim for:

- Thin-file approval rate improves from 30% to 33–35%
- No increase in 30/60/90-day delinquency
- Manual review rate reduces by 10–15%
- Consent and fetch funnel becomes fully observable
- Top 3 consent drop-off reasons are identified
- LendWell sees a concrete roadmap before renewal

This would give us a strong renewal conversation:

“We have improved decision confidence, quantified the approval opportunity, and built the observability needed to recover the consent funnel next.”

Quarter 2: Scale Funnel Conversion and Risk Intelligence

Objective

Once BSA trust is improved, recover more users from the consent funnel and scale risk-adjusted approvals.

Initiative 1: Smart retry and recovery engine

Product outcome:

Improve successful data fetch after consent approval.

Features:

- Retry failed fetches based on failure type
- Bank downtime-based retry scheduling
- User reconnect flow for invalid consent
- Lender alerting for recurring bank failures

Success metrics:

- Data-fetch success improves from 85% to 90%
- Retry recovery rate
- Reduction in avoidable fetch failures
- Lower abandonment after technical failure

Initiative 2: Consent education and handoff optimisation

Product outcome:

Improve consent completion without damaging user trust.

Features:

- Pre-consent explanation screen
- Clear data usage language
- Revocation explanation
- Progress indicators
- Bank-specific help prompts
- Return-to-app recovery states

Success metrics:

- Consent approval improves from 55% to 65–70%
- Consent-related complaints do not increase
- Consent revocation rate remains stable
- Drop-off after AA handoff reduces

Initiative 3: Advanced affordability and thin-file risk model

Product outcome:

Scale risk-adjusted approval decisions.

Features:

- Affordability confidence score
- Thin-file risk banding
- Cash-flow volatility model
- Segment-specific recommendation logic
- Feedback loop from repayment outcomes

Success metrics:

- Approval rate improves while delinquency remains stable
- Better separation between low-risk and high-risk thin-file users
- Reduction in false declines
- Improved credit policy calibration

Initiative 4: EWS integration into underwriting feedback loop

Product outcome:

Use post-disbursal outcomes to continuously improve underwriting signals.

Features:

- Map early warning signals back to BSA features
- Identify which pre-disbursal signals predicted stress
- Improve reason-code accuracy
- Calibrate risk bands over time

Success metrics:

- Improved early risk detection
- Reduced false approvals
- Better approval quality by segment
- Stronger lender confidence in TSP analytics

Quarter 2 target outcomes

By end of Quarter 2, I would aim for:

- Consent approval improves from 55% to 65–70%
 - Data-fetch success improves from 85% to 90%
 - Risk-adjusted approval rate improves further
 - Avoidable rejection reduces
 - Early delinquency remains within guardrails
 - LendWell sees measurable value from both growth and risk improvements
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12. Risks, Trade-offs, and Guardrails

Risk 1: Approval lift may increase defaults

If we push LendWell to approve more thin-file users without proper validation, default risk may increase.

Guardrail:

Approval-rate improvement must be measured with 30/60/90-day delinquency. I would not celebrate approval lift unless repayment quality remains stable.

Risk 2: More data usage can create consent-scope risk

BSA improvements may tempt teams to use data beyond the consented purpose.

Guardrail:

Every new signal must be mapped to consent scope, purpose limitation, and data minimisation principles.

Risk 3: Consent optimisation can become manipulative

Trying to increase consent completion should not become dark-pattern design.

Guardrail:

The user must clearly understand what data is being shared, why it is needed, for how long, and how consent can be revoked.

Risk 4: EWS monitoring after disbursal requires active valid consent

Post-disbursal monitoring must not continue if consent is revoked or expired.

Guardrail:

EWS must be tied to consent validity. Revocation should stop data pulls and monitoring immediately.

Risk 5: FIP and AA issues may be outside our control

Some failures may be caused by banks or AA providers.

Guardrail:

We should not promise full resolution where we do not control the system. Instead, we should create visibility, escalation workflows, and bank-wise reporting.

Risk 6: Credit policy may remain conservative

Even with stronger BSA signals, LendWell may not change approval thresholds.

Guardrail:

Use historical data and champion-challenger pilots to prove that certain thin-file segments perform well.

The biggest trade-off is whether to prioritise the largest revenue leak, consent drop-off, or the most controllable product lever, BSA approval confidence.

Consent improvement has a larger theoretical revenue upside. Moving consent approval from 55% to 75% could create around ₹26.45 crore in additional annual revenue for LendWell, assuming downstream conversion remains constant.

But BSA improvement is more directly in our control and more important for renewal trust. If LendWell does not believe our BSA helps them approve good borrowers, consent improvement alone will not solve the relationship risk.

So I would prioritise BSA improvement first, but I would not ignore consent. I would instrument consent in parallel in Quarter 1, then optimise it in Quarter 2 once we know the root causes.

I would resolve this trade-off with data by running two pilots:

Pilot A: Thin-file BSA enhancement pilot

Test whether better BSA signals improve approval confidence without increasing delinquency.

Success criteria:

- Approval rate improves by 3–5 percentage points
- Early delinquency does not increase
- Credit team uses the new reason codes
- Manual review reduces

Pilot B: Consent observability and recovery pilot

Track drop-offs by bank, AA provider, and failure type.

Success criteria:

- Top drop-off causes identified
- Fetch failures classified
- Retry opportunities quantified
- Consent improvement roadmap validated

At the end of Quarter 1, I would compare which initiative shows stronger evidence and scale accordingly.

14. Final Recommendation

My recommendation is to frame this as a renewal-focused product strategy, not just a funnel optimisation project.

The immediate renewal risk is that LendWell may lose confidence in the product. Their concern is not only that users drop at consent. Their deeper concern is that even after data is received, the BSA does not help them approve enough borrowers.

Therefore, I would prioritise improving BSA signal quality, thin-file underwriting confidence, and explainability first. This is the most controllable TSP lever and the strongest way to prove product value before renewal.

In parallel, I would instrument the AA consent and data-fetch journey so we can quantify where users are dropping and separate user confusion from bank failures, AA handoff friction, and FIP downtime.

My roadmap would follow this sequence:

1. Improve BSA confidence for thin-file users.
2. Add explainability and reason codes for lender trust.
3. Instrument consent and fetch drop-offs.
4. Add EWS guardrails for newly approved thin-file borrowers.
5. Scale consent recovery, smart retries, and bank-wise optimisation.
6. Use repayment feedback to continuously improve risk-adjusted approvals.

The outcome I would optimise for is not simply higher consent completion or higher approval rate. It is:

More good loans, approved with confidence, under clear consent and risk guardrails.

That is the product outcome that protects LendWell's business and gives us the strongest case for renewal.